

Ethereum's Supply Dynamics & Monetary Thesis

Post-merge ETH economics, read through supply, burn, staking and monetary premium.

Current supply

121.6M

ETH

Base gas

0.1

Gwei

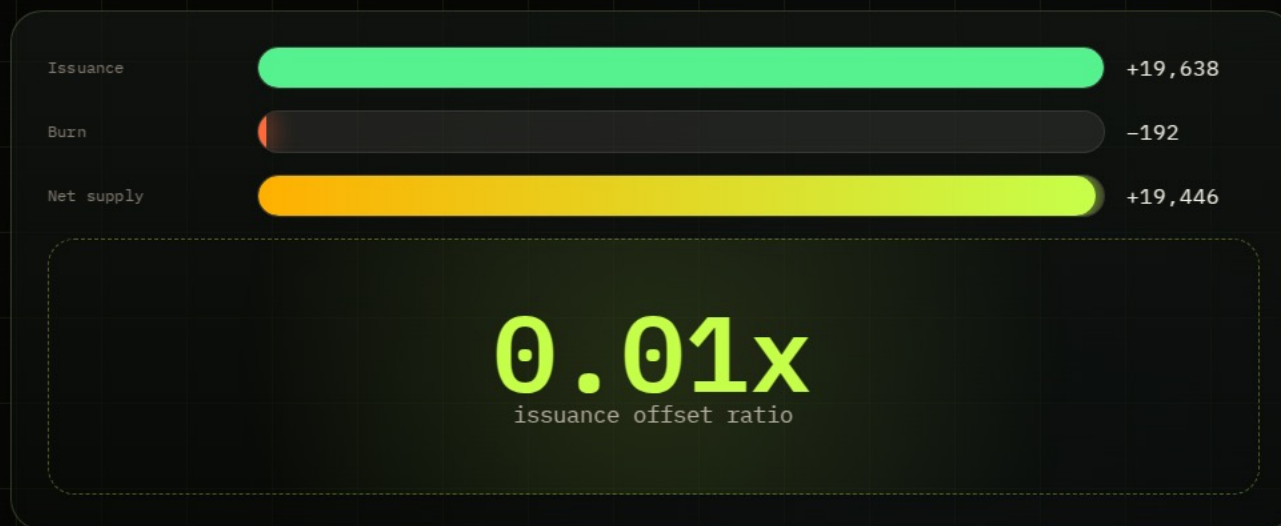
ETH price

\$2,243

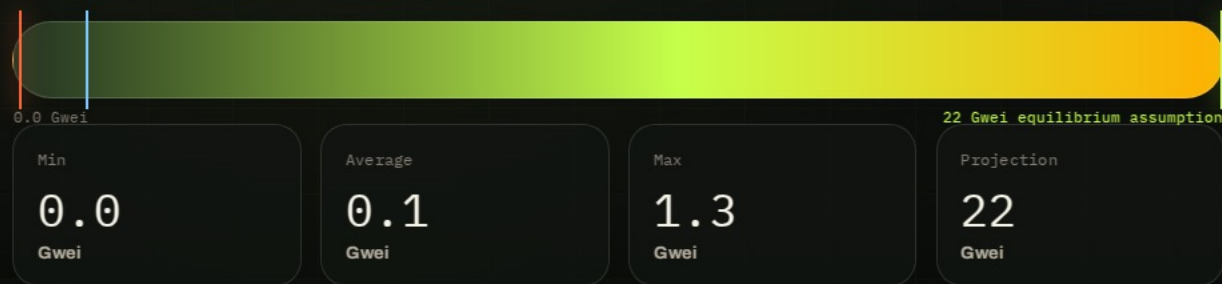
USD

Supply is growing at **+0.83%/year** with only 192 ETH burned in 7 days.

- ◆ Current supply: 121,603,980 ETH.
- ◆ 7-day net change: +19,445.89 ETH.
- ◆ Issuance: 19,638.29 ETH; burn: 192.39 ETH.
- ◆ Burns offset issuance by just 0.01x — roughly 1%.



7-day gas range versus equilibrium assumption



Blob gas averaged 7,144,934 wei; blob fee burn totaled 0.15 ETH (\$319) over 7 days.

Base gas at historic lows suppresses EIP-1559 fee burn.

- ◆ EIP-1559 destroys base fees; low gas means low burn.
- ◆ Current 0.1 Gwei average is far below the 22 Gwei equilibrium assumption.
- ◆ Recent blocks burned only 0.00–0.01 ETH per block.
- ◆ Low activity turns the supply path temporarily inflationary.

DeFi and ETH transfers account for **85%** of weekly fee burn.

Burn leadership is concentrated, but absolute burn is negligible in the current fee regime.

Top entry

ETH transfers

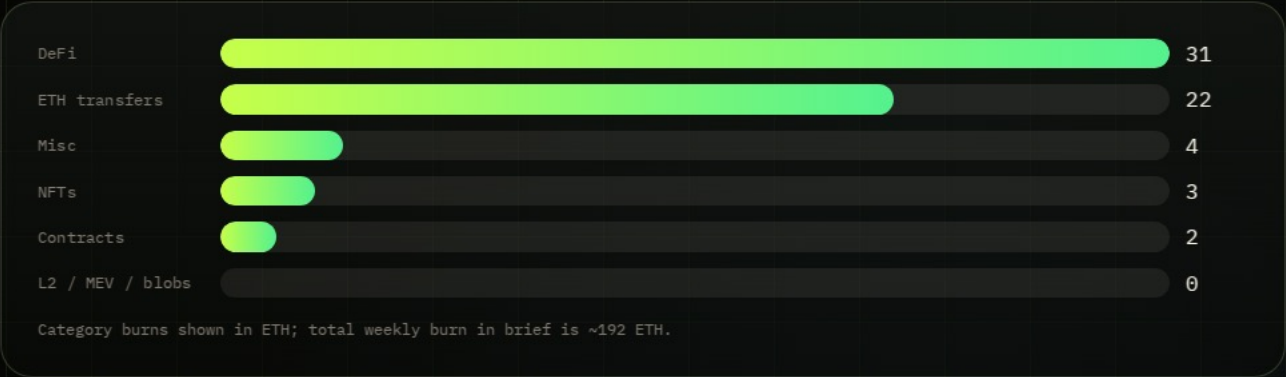
21.74 ETH

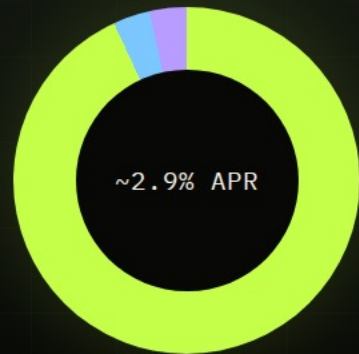
Top ERC20

TetherUSDT

13.55 ETH

7-day burn record: 0.07 ETH in a single block.





■ Issuance rewards
■ Tips
■ MEV estimate

2.7% APR

0.1%

0.1%

Staked

38.9M

ETH, ~32% supply

Locked

9.1M

ETH, avg 10.7 years

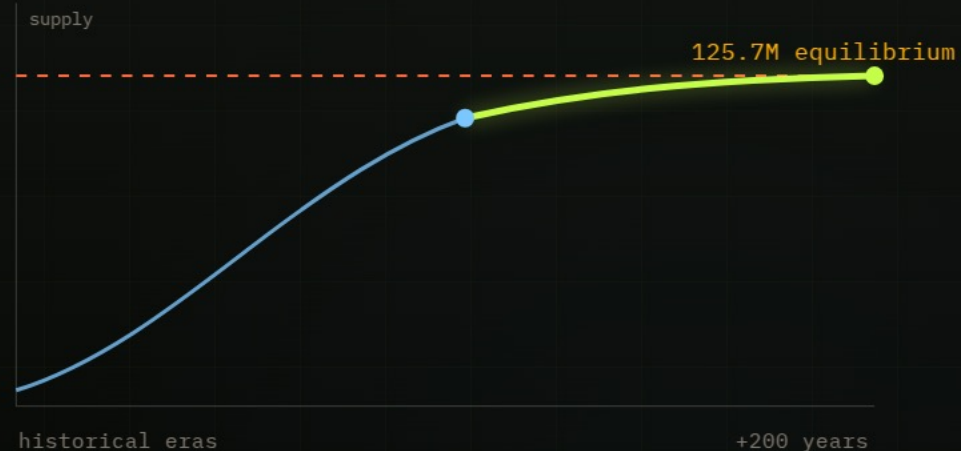
38.9M ETH staked; rewards are mostly protocol issuance.

- ◆ Proof-of-stake secures Ethereum with 38.9M ETH staked.
- ◆ Validator issuance rewards: 0.9 ETH/validator.
- ◆ Tips and MEV are each only 0.1% APR in the current mix.
- ◆ The staking lock creates a monetary scarcity engine.

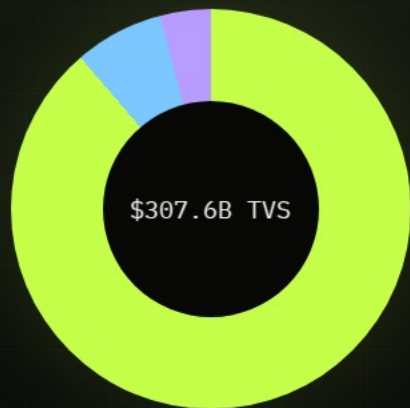
Long-term supply converges toward **125.7M ETH**.

- ◆ 200-year projection assumes **39M ETH staked**.
- ◆ Average base gas assumption: **22 Gwei**.
- ◆ Equilibrium balances issuance and burn at **1,037K ETH/year**.
- ◆ Normalized daily framing: **2.8K ETH/day PoS issuance vs 2.2K ETH/day burn**.

Genesis 5 ETH/block	Byzantium 3 ETH/block	Constantinople 2 ETH/block	Phase 0 staking	London burn	Merge PoW removal
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Shape is illustrative; labeled values and parameters are from the source brief.



■ ETH native value
■ ERC20 tokens
■ NFTs

\$272.76B
\$22.21B
\$12.66B

vs Bitcoin

18.7%

vs Gold

0.89%

vs USD

1.30%

ETH is 18.7% of Bitcoin's market cap, securing \$272B in native value.

- ◆ Total Value Secured on Ethereum: ~\$307.6B.
- ◆ Top ERC20s include Dai \$4.41B and SHIB \$3.51B.
- ◆ Top NFTs include CryptoPunks \$2.13B.
- ◆ Monetary premium is growing, but still early against BTC, gold and USD.

Ultra sound money thesis intact — gas activity is the critical variable.

01

Current headwind

ETH is mildly inflationary at **+0.83%/yr** because average gas is just **0.1 Gwei**.

02

Burn works

EIP-1559 burn mechanics work, but require sustained on-chain activity to matter.

03

Staking lock

38.9M ETH staked and **9.1M ETH** locked create supply scarcity.

04

Equilibrium

Long-run model converges to **125.7M ETH** with **22 Gwei** average gas.

05

Premium

\$307B+ TVS and **18.7%** of BTC market cap show early monetary premium.

Investor implication: conviction should track whether Ethereum demand recovers enough to make burn structurally material again.